Conventional thinkers say you are *not really* saving all this money in taxes. You are simply deferring taxation and will have to pay later. Brandon, *The Mad Fientis*t, says this does not apply to those who choose to pursue FI, particularly when you retire at a young age. He believes we should defer taxation on as much of our income as possible during our working careers. Then we pay these taxes over long periods at lower tax rates, possibly as low as 0 percent.

A basic understanding of marginal and effective tax rates as laid out in the previous section is mandatory to implement his strategies, which have become conventional wisdom in the FI community. You eventually have to pay taxes on tax-deferred savings. However, you can take money that would have been taxed at rates as high as 37 percent and pay it later at rates as low as 0 percent, creating an amazing opportunity for tax rate arbitrage! This works because a person or couple with a high savings rate will defer earned income that would have been taxed at higher marginal tax rates in the year earned and later pay that income tax at a much lower effective tax rate due to the low-cost lifestyle they built that enabled their savings in the first place.

Returning to our hypothetical couple, Amaya and Greg shifted taxation of $45,000 that would have been taxed at 22 to 24 percent.